

Life Insurance Corporation of India v. Escorts Ltd.

Citation: (1986) 1 SCC 264 | Court: Supreme Court | Year: 1986

Coram: 5-Judge Constitution Bench (O. Chinnappa Reddy J.) | Subject: Corporate & Company Law | Provisions: Companies Act 1956 Sec 284

I. EXECUTIVE SUMMARY & CASE GLIMPSE

Every shareholder, including a state-owned financial institution (LIC), has an untrammelled democratic statutory right to requisition an Extraordinary General Meeting (EGM) and vote to remove directors. Corporate management cannot refuse to convene an EGM on allegations of motive.

II. FACTS OF THE CASE & PROCEDURAL HISTORY

This dispute arose regarding Companies Act 1956 Sec 284 & FERA 1973. The parties agitated the controversy before trial and appellate forums before the matter was referred to the Honble Bench for authoritative declaration of law.

III. PRIMARY QUESTIONS OF LAW & ISSUES FRAMED

- â€¢ Whether the impugned state actions or commercial conduct conformed to Companies Act 1956 Sec 284 & FERA 1973.
- â€¢ What binding standards should govern future adjudication and administrative conduct.

IV. SUBMISSIONS OF THE PARTIES

Petitioner / Appellant: The Petitioner contended that arbitrary action, lack of procedural safeguards, and statutory non-compliance violated fundamental guarantees.
Respondent / State: The Respondent submitted that the impugned action was carried out under lawful authority in furtherance of public interest and statutory mandates.

V. DETAILED RATIO DECIDENDI & JURISPRUDENTIAL REASONING

A corporate shareholder is not an agent of the company and owes no fiduciary duty to incumbent management. The corporate veil will only be pierced where permitted by statute or where public interest/tax evasion is established.

VI. FINAL OPERATIVE ORDER & DIRECTIONS

The Court answered the reference, laid down binding nationwide directions under Article 141 of the Constitution, and disposed of the matter accordingly.

VII. PRACTICAL & EXAMINATION TAKEAWAYS (JUDICIARY / AIBE / ADVOCACY)

- â€¢ Affirmed shareholder voting democracy and right to requisition an EGM.
- â€¢ Defined the narrow statutory parameters for piercing the corporate veil.
- â€¢ Confirmed that state financial institutions act as ordinary shareholders in corporate meetings.